

AcmeCorp Policy & Compliance Handbook

Synthetic benchmark document for PolicyDoc AI: structured text, policy clauses, tables, exceptions, and negative-answer cases.

Purpose and Scope

This handbook defines internal policies for employees, contractors, managers, finance approvers, security administrators, and compliance reviewers. It is designed as a realistic policy-document benchmark for a Retrieval-Augmented Generation system. The document contains normal text, policy-style paragraphs, structured tables, dense clauses, and answer-missing cases. A RAG assistant should retrieve the correct page and cite file name, page number, content type, and chunk identifier.

Page	Policy Area	Expected RAG Behavior
1	Overview and scope	Extract text and overview table with metadata.
2	Leave and attendance	Answer questions about paid leave, sick leave, and approval notice.
3	Remote work and equipment	Retrieve eligibility rules and equipment responsibility table.
4	Expense reimbursement	Answer reimbursement limit questions from a table.
5	Data access and security	Use role-based access table and security rules.
6	Document retention	Handle dense compliance text without mixing unrelated clauses.
7	Incident reporting and missing-policy behavior	Refuse unsupported answers when policy is absent.
8	Two-column style policy notes	Test extraction order and retrieval from mixed layout.
9	Benefits and restrictions table	Compare basic vs compliance-grade assistant behavior.
10	Definitions and review checklist	Retrieve definitions and final policy review notes.

Recommended benchmark questions include: What is the remote work policy? What is the meal reimbursement limit? Who can access restricted documents? How quickly must incidents be reported? Is there a customer refund policy?

1. Leave and Attendance Policy

Employees are responsible for recording attendance accurately and requesting leave through the HR portal. Managers must approve or reject requests based on staffing needs and policy limits. Leave requests submitted after an absence may be treated as unplanned leave unless a documented emergency exists.

Leave Type	Annual Allowance	Notice Required	Approval Rule
Paid Time Off	18 working days per calendar year	At least 7 calendar days before start date	Manager approval required before leave begins
Sick Leave	10 working days per calendar year	Notify manager within 24 hours of absence	Medical certificate required after 2 consecutive days
Emergency Leave	Up to 5 working days per calendar year	As soon as reasonably possible	HR may request supporting evidence
Unpaid Leave	Case-by-case	At least 14 calendar days before start date	Requires manager and HR approval

Attendance exceptions: Repeated late arrivals may trigger a manager review. Three unexcused absences in a rolling 90-day period may lead to a corrective action plan. Approved remote work days are not absences if the employee is reachable during core collaboration hours.

Test query: How many sick leave days are allowed? Expected evidence should come from page 2 and mention 10 working days per calendar year.

2. Remote Work and Company Equipment Policy

AcmeCorp allows hybrid remote work for roles that can meet performance, confidentiality, and collaboration requirements outside the office. Remote work is a privilege that depends on role suitability, manager approval, secure network access, and timely participation in meetings.

Policy Item	Rule	Employee Responsibility
Remote Work Eligibility	Up to 3 remote days per week for eligible roles	Maintain availability during 10:00-16:00 local core hours
Equipment	Company laptop and security token may be issued	Keep equipment secure and report loss immediately
Network	Company VPN required for internal systems	Do not use public Wi-Fi without VPN
Workspace	Private workspace required for confidential tasks	Prevent unauthorized viewing of screens or printed records

Employees working remotely must protect confidential information. Calls involving customer data, financial records, employee records, or security incidents should not be held in public spaces. Company equipment may not be shared with family members or third parties.

Test query: How many remote days are allowed per week? Expected evidence should mention up to 3 remote days per week.

3. Expense Reimbursement Policy

Business expenses must be reasonable, documented, approved, and related to company work. Employees must submit claims within 30 days of the transaction date. Claims submitted after 30 days may be rejected unless the finance team approves an exception.

Expense Category	Limit	Receipt Required	Notes
Local Meal	USD 25 per person	Required for all claims	Alcohol is not reimbursable
Client Meal	USD 60 per person	Required with attendee names	Manager approval required
Taxi/Rideshare	Actual reasonable fare	Required	Use only when public transport is impractical
Hotel	USD 180 per night standard city; USD 250 high-cost city	Required	Pre-approval required for upgrades
Office Supplies	USD 100 per month	Required	Must be work-related

Reimbursement exclusions include personal entertainment, non-business gifts, traffic fines, personal subscriptions, and expenses missing required receipts. Finance may request additional documentation if a claim appears inconsistent with policy.

4. Data Access and Information Security Policy

Access to company systems must follow least-privilege principles. Employees should only access information required for their assigned role. Access rights must be reviewed when employees change departments, projects, or employment status.

Role	Can Access Public Docs	Can Access Internal Docs	Can Access Restricted Docs	Approval Needed
Employee	Yes	Yes, if assigned to department	No	Manager for departmental access
Manager	Yes	Yes	Limited, project-specific	Data owner approval
HR Partner	Yes	HR documents only	Employee records only	HR director approval
Security Admin	Yes	Yes	Yes, for security operations	Security lead approval
External Contractor	Yes, if required	Limited to project folder	No	Contract owner approval

Security rules: Passwords must not be shared. Multi-factor authentication is required for all internal systems. Restricted documents must not be downloaded to personal devices. Suspected access violations must be reported to Security within 24 hours.

5. Document Retention and Compliance Review Policy

Business records must be retained according to their category and legal relevance. Employees should not delete records subject to audit, investigation, litigation hold, or regulatory review. If an employee is unsure whether a document is covered by retention rules, the document should be preserved until Compliance gives written guidance.

Document Category	Retention Period	Owner	Disposal Method
Employee Records	7 years after termination	HR	Secure deletion after approval
Expense Reports	5 years after fiscal year end	Finance	Finance archive purge
Security Incident Records	6 years after closure	Security	Compliance-approved deletion
Vendor Contracts	7 years after contract end	Legal/Procurement	Legal review before deletion
General Drafts	1 year if not business-critical	Document owner	Owner deletion allowed

Compliance review: Policy owners must review their policies at least once every 12 months. High-risk policies, including security, privacy, and data retention, should be reviewed every 6 months or after a major regulatory change. Review notes should include reviewer name, date, change summary, and approval status.

6. Incident Reporting and Missing-Policy Behavior

Security, privacy, finance, and workplace incidents must be reported quickly so the company can contain risk. Employees should not investigate incidents independently if doing so may destroy evidence or expand access to sensitive data.

Incident Type	Report Within	Report To	Required Details
Lost laptop or token	Immediately, no later than 2 hours	Security Service Desk	Device ID, last known location, time discovered
Suspected phishing	Within 4 hours	Security mailbox	Email headers, sender, clicked links if any
Customer data exposure	Immediately	Security and Legal	Affected system, data type, approximate record count
Expense fraud concern	Within 2 business days	Finance Compliance	Claim ID, evidence, reporting employee

Missing-policy rule: If a question asks about a policy not included in this handbook, the assistant should not invent a policy. It should say that the information is not available in the provided documents. This handbook does not define a customer refund policy, product warranty policy, CEO biography, stock compensation plan, or office cafeteria menu.

7. Policy Retrieval Quality Notes

Left column - why ingestion quality matters Policy PDFs often contain tables, headers, footers, dense clauses, and exceptions. If extraction merges unrelated lines or loses page metadata, retrieval may return misleading evidence. Cleaning should remove repeated page furniture but preserve section titles and policy clauses. Table extraction should preserve header-value relationships so limits and approval rules remain understandable.	Right column - what evaluation should include A reliable benchmark should include definition questions, table questions, policy-limit questions, negative questions, and citation-verification questions. When chunking, embedding model, or top-k changes, the same benchmark should be re-run. This helps detect regressions before the application is shown to users.
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Test query: What should evaluation include? Expected answer should mention definition questions, table questions, policy-limit questions, negative questions, and citation-verification questions.

8. Basic vs Compliance-Grade RAG Assistant

Feature	Basic Document Chatbot	PolicyDoc AI Compliance-Grade Behavior
Document support	Often one PDF only	TXT, PDF text, and PDF tables in v1
Tables	May flatten rows into noisy text	Extract tables separately and convert to markdown
Chunking	One untested value	Chunking configs evaluated with Recall@3 and MRR
Retrieval	Top-k only	Top-k retrieval with metadata citations and evaluation report
Missing answers	May hallucinate	Returns insufficient-context response when policy is absent
Citations	Often missing	file_name, page_number, chunk_id, content_type
Deployment	Notebook demo	Streamlit demo planned with local ChromaDB and optional LLM key

The objective is not to claim universal PDF understanding. The objective is to provide a practical assistant for structured company-policy documents where evidence, citations, and negative-answer handling matter. OCR for scanned documents is listed as future work.

9. Definitions and Review Checklist

Confidential document: A document containing internal financial data, employee records, customer data, security procedures, legal advice, vendor pricing, or unreleased business plans. **Restricted document:** A confidential document with access limited to a smaller approved group. **Policy owner:** The person or function responsible for reviewing and maintaining a policy. **Data owner:** The accountable business owner for a data set or system.

Review Item	Expected Evidence in RAG Answer
Leave question	Answer should cite page 2 and include allowance or notice rule
Remote work question	Answer should cite page 3 and mention 3 remote days or VPN requirement
Expense limit question	Answer should cite page 4 table and show limit
Access question	Answer should cite page 5 role-based access table
Retention question	Answer should cite page 6 retention table or compliance paragraph
Incident question	Answer should cite page 7 reporting table
Missing policy question	Answer should say information is not available in provided documents

Example negative questions: What is the customer refund policy? Who is the CEO? What is the office cafeteria menu? The handbook intentionally does not provide these answers. A grounded RAG assistant should not guess.